LoanBazaar®
Secure Distribution Venture Pvt. Ltd.

What Is Loan Against Securities (LAS) ?

Developed by www.loanbazaaronline.com

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Module 1: Theoretical Foundations and Product Philosophy of Loan Against Securities (LAS)

1.1 The Concept of Asset-Backed Equity Refinancing

In corporate and private wealth finance, **Loan Against Securities (LAS)** represents a highly structured, revolving or non-revolving fund-based credit facility that enables an investor or promoter to unlock immediate liquidity from their financial asset portfolio without liquidating the underlying holdings.

Historically, when an individual or business owner required working capital, the traditional response was to sell off investment assets (such as equity shares, mutual funds, gold, or debt bonds) or pledge physical real estate. Selling financial assets, however, triggers immediate cash outdraws in the form of capital gains taxes (under Section 111A and Section 112A of the Income Tax Act, 1861) and permanently disrupts the compounding trajectory of the investment portfolio.

LAS resolves this dilemma through the philosophy of **Asset-Backed Refinancing**. By creating a pledge or lien over financial securities in favor of a lender, the borrower secures a low-interest overdraft line or short-term loan while retaining 100% of the beneficial ownership of their assets. This means that any stock dividends, mutual fund distributions, corporate interest payments, and capital appreciation continue to accrue directly to the borrower, even while the asset pool is lien-marked.

1.2 Unlocking Wealth without Liquidation: The Compounding Preservation Principle

To understand the financial power of LAS, consider the “Compounding Preservation Principle.” If an entrepreneur holds ₹5 Crores in a diversified equity portfolio growing at a historical average rate of 12.00% p.a., selling ₹2 Crores to fund a sudden business raw material procurement cycle results in: 1. Immediate capital gains tax liabilities (typically 12.5% Long-Term Capital Gains under the latest Finance Act on gains exceeding ₹1.25 Lakhs, plus applicable surcharges). 2. The permanent loss of compounding on that ₹2 Crore. Over 5 years, that ₹2 Crore would have grown to approximately ₹3.52 Crores.

By choosing LAS instead, the entrepreneur pledges the ₹5 Crore portfolio, secures a ₹2.5 Crore overdraft limit (at a 50% Loan-to-Value ratio), draws down the required ₹2 Crore at an interest rate of, say, 9.50% p.a., and repays the interest as working capital cash flows materialize. The entire ₹5 Crore portfolio remains fully invested, continuing its 12% compounding curve. This strategic choice preserves millions in long-term terminal wealth.

1.3 The Sovereign/Semi-Sovereign and Anchor-Led Substitution Paradox in LAS

A unique structured variant of LAS is its application in MSME and promoter-led corporate funding. In many cases, small-to-medium-scale enterprises (MSMEs) lack the hard physical collateral (such as commercial buildings or factory land) required to secure substantial bank limits. However, the business owners often hold high-quality financial reserves—such as

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Sovereign Gold Bonds (SGBs), National Savings Certificates (NSCs), Life Insurance Policies, or Triple-A rated corporate debentures.

By structuring an LAS facility backed by these sovereign or semi-sovereign financial assets, the MSME leverages the **Credit Substitution Principle**. The lender completely disregards the operating volatility and weak standalone balance sheet of the MSME, instead sizing and pricing the loan against the absolute safety of the pledged financial instruments. This allows the unrated business owner to access prime capital at interest rates that are significantly lower than standard commercial unsecured credit lines.

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Module 2: Structural Taxonomy and Comparative Analysis (The Credit Matrix)

To master the mechanics of LAS, a finance professional must be able to contrast this secured facility against other prominent debt instruments across several dimensions:

Credit Dimension	Loan Against Securities (LAS)	Loan Against Property (LAP)	Unsecured Business Loans	Cash Credit (CC) Facilities
Primary Underwriting Focus	Real-time market value and liquidity of the pledged financial assets (shares, mutual funds, bonds).	Long-term market value, physical condition, and clear legal title of real estate collateral.	Historical business profitability, GSTR tax filing volumes, and balance sheet cash flows.	Value of moving current assets (inventory and debtors) verified via monthly stock statements.
LTV / Haircut Margins	Rigidly regulated by RBI: 50% maximum for equity shares; 70-80% for mutual funds; 85% for debt bonds.	Moderately structured: 50% to 65% of commercial property value; up to 70% for residential property.	No LTV applied as there is no underlying asset collateral; sized as a multiple of EBITDA or turnover.	Sized against Drawing Power (DP): 25% margin on eligible inventory; 30% margin on debtors < 90 days.
Repayment & Limit Structure	Revolving overdraft line or short-term loan with daily reducing interest. No fixed EMI.	Structured monthly amortizing EMI (principal + interest) over long-term tenures.	Fixed monthly EMI covering both principal and interest over a medium-term tenure.	Revolving limit with no fixed maturity, subject to monthly DP updates and annual credit renewal.
Upfront Processing & Turnaround Time	Ultra-rapid: **24 hours to 3 days** (fully digital pledges are approved in minutes via CDSL/NSDL APIs).	High friction: **15 to 30 days** due to physical valuations, legal title searches, and registrar verification.	Rapid: **3 to 7 days** utilizing automated digital bank statement readers and credit scorecards.	Medium friction: **10 to 20 days** due to physical stock audits, financial appraisals, and legal searches.
Indicative Interest Rates	Highly competitive: **8.50% to 11.50% p.a.** (often tied directly to bank EBLR or Repo rate).	Competitive: **9.00% to 12.00% p.a.** (linked to MCLR or EBLR).	High cost: **14.00% to 24.00% p.a.** reflecting the lack of underlying asset security.	Competitive: **9.25% to 12.50% p.a.** (linked to bank EBLR or MCLR).
CERSAI & ROC Filing Covenants	Mandatory CERSAI registration of the financial pledge/lien charge within	Mandatory CERSAI and ROC mortgage registration (Form CHG-1) within 30 days	No asset-level CERSAI filings; ROC charge created only if a general floating charge is executed.	Mandatory CERSAI and ROC charge registration over book debts and inventory within 30 days.

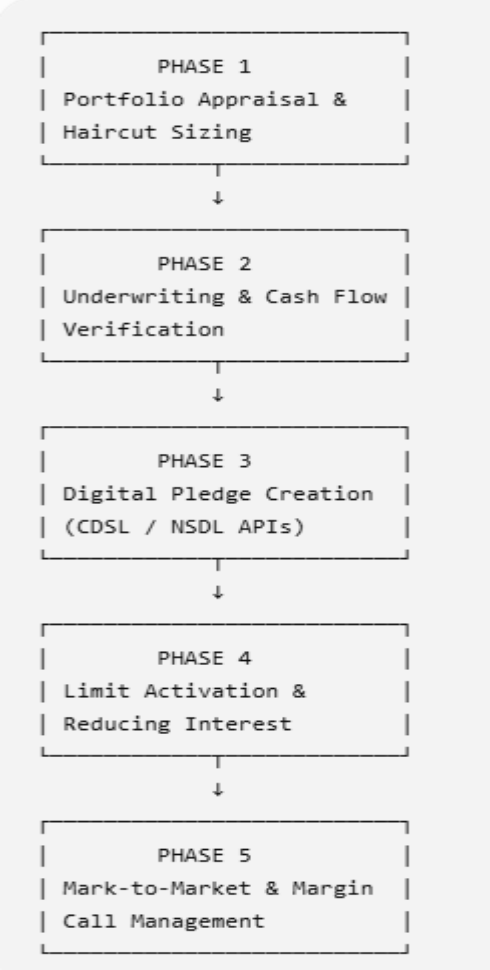
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Credit Dimension	Loan Against Securities (LAS)	Loan Against Property (LAP)	Unsecured Business Loans	Cash Credit (CC) Facilities
	the statutory window.	of executing deed.		
Balance Sheet Classification	Current liability (if structured as an overdraft) or short-term secured borrowings.	Non-current liability (long-term secured debt) with current maturities listed under current liabilities.	Short-term to medium-term liability listed under unsecured corporate borrowings.	Current liability; revolving working capital loan against current assets.

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Module 3: The End-to-End Operational Lifecycle of LAS

The execution and management of a Loan Against Securities transaction follows a precise, technologically integrated lifecycle designed to manage credit risk and collateral volatility in real-time.



3.1 Phase 1: Portfolio Appraisal and Haircut Sizing

The operational cycle begins when the borrower submits their demat account statements or Consolidated Account Statement (CAS) to the lender. The lender's underwriting system executes real-time valuation scripts to assess the portfolio. Every security is filtered against the bank's **Approved Securities List**. Illiquid stocks, penny shares, and high-beta small-cap mutual funds are immediately filtered out.

Haircuts are then applied based on RBI mandates and internal risk matrices: * **Blue-chip Equity Shares (Nifty 50):** 50% haircut (LTV = 50%). * **Diversified Equity Mutual Funds:** 30% to 40% haircut (LTV = 60% to 70%). * **Debt Mutual Funds & AAA-rated Corporate Bonds:** 15% to 25% haircut (LTV = 75% to 85%). * **Sovereign Gold Bonds (SGBs) & fixed deposits:**

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10% to 15% haircut (LTV = 85% to 90%). The total eligible credit limit is computed as the sum of the post-haircut values of all approved assets in the portfolio.

3.2 Phase 2: Underwriting and Cash Flow Verification

While LAS is heavily secured by liquid financial assets, Indian regulatory guidelines and credit policies mandate that lenders verify the borrower's repayment capacity to prevent predatory lending. The underwriter analyzes: 1. The borrower's regular operating income (business cash flows or salary velocity) via the **Account Aggregator (AA)** framework. 2. The promoter's creditworthiness, requiring a promoter personal **CIBIL score > 700** and a **CIBIL MSME Rank of CMR 1 to CMR 4** for business accounts. 3. The Interest Coverage Ratio (**ICR > 1.25x**) and Debt Service Coverage Ratio (**DSCR > 1.25x**) to ensure the borrower can easily service the interest outdraws without requiring the forced liquidation of the underlying portfolio.

3.3 Phase 3: Digital Pledge Creation (CDSL/NSDL Integration)

In modern digital trade finance, physical pledge execution has been entirely replaced by electronic lien-marking. The lender's portal connects directly to the depositories (**CDSL - Central Depository Services India Ltd** or **NSDL - National Securities Depository Ltd**) via secure APIs. 1. The borrower receives a secure Link or OTP from NSDL/CDSL requesting authorization to pledge specific ISINs (International Securities Identification Numbers) in favor of the lender. 2. Upon OTP input and verification, the depository instantly places a **Lien/Pledge** on the specified quantities of shares/mutual fund units. 3. Once lien-marked, these securities are "frozen" in the borrower's demat account. The borrower cannot sell, transfer, or modify these pledged units. However, they remain the legal owner, meaning any stock dividends or corporate actions continue to route directly to the borrower's designated bank account.

3.4 Phase 4: Limit Activation and Reducing Interest Accrual

Once the CDSL/NSDL depository confirms the successful pledge creation, the lender activates a dedicated Overdraft (OD) Account for the borrower. The credit limit is linked to this account. The borrower enjoys 100% flexibility: they can draw down ₹10,000 or ₹1 Crore up to their sanctioned limit.

Interest does not accrue on the sanctioned limit; it is calculated strictly on the **daily reducing balance** of the actual utilized negative balance. The daily interest is calculated using the formula:

$$extDailyInterestAccrued = racextOutstandingUtilizedBalanceimesextAnnualInterestRate365$$

Interest is compiled and debited to the overdraft account on the last working day of every calendar month.

3.5 Phase 5: Mark-to-Market (MTM) and Margin Call Management

Because the value of pledged equity shares and mutual funds fluctuates every second, lenders operate a continuous **Mark-to-Market (MTM)** monitoring engine. * **The Margin Trigger:** If the market value of the pledged securities drops due to a market correction, the effective LTV ratio

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rises. For example, if a borrower pledges ₹1 Crore of shares to secure a ₹50 Lakh limit (LTV 50%), and the market drops by 20%, the portfolio value falls to ₹80 Lakhs, pushing the effective LTV to 62.5% (₹50L / ₹80L). * **The Margin Call:** If the effective LTV crosses the risk threshold (typically 60% for equities), the bank triggers an immediate **Margin Call** via SMS/Email. The borrower is contractually bound to resolve the margin shortfall within **24 to 48 hours** by: 1. Transferring immediate cash into the overdraft account to reduce the outstanding principal. 2. Or, pledging additional approved securities via NSDL/CDSL to restore the required LTV ratio. * **The Foreclosure Trigger:** If the borrower fails to resolve the margin call and the market continues to slide, crossing the critical foreclosure threshold (typically 70% LTV), the bank's system automatically triggers an electronic foreclosure. Under the pledge terms, the bank exercises its absolute legal right to sell the pledged securities directly in the open stock exchange to recover the outstanding loan principal and interest, releasing any surplus cash back to the borrower.

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Module 4: Underwriting Framework, Approved Securities List & Key Credit Risk Metrics

Credit underwriters utilize a highly structured framework to balance the high volatility of financial markets against the liquidity requirements of corporate and individual borrowers.

4.1 Categorization of Pledged Assets and Haircut Framework

Lenders divide financial assets into three primary categories, applying escalating risk haircuts based on price volatility and liquidity metrics:

1. **Category A (Ultra-Low Volatility Assets):**
   - *Securities:* Sovereign Gold Bonds (SGBs), National Savings Certificates (NSCs), Life Insurance Policies (with guaranteed surrender value), and Fixed Deposits.
   - *Haircut Range:* **10% to 15%** (LTV of 85% to 90%).
   - *Underwriting View:* Cash flows are sovereign-backed or guaranteed, with zero market-price volatility. Minimum monitoring required.
2. **Category B (Moderate Volatility Assets):**
   - *Securities:* Diversified Equity Mutual Funds, Debt Mutual Funds, Exchange Traded Funds (ETFs), and Blue-chip corporate debentures.
   - *Haircut Range:* **20% to 35%** (LTV of 65% to 80%).
   - *Underwriting View:* Asset values are market-linked but diversified across hundreds of companies, mitigating single-stock concentration risk. Daily MTM tracking enforced.
3. **Category C (High Volatility Assets):**
   - *Securities:* Individual Listed Equity Shares (Nifty 50, Nifty Next 50, and approved mid-cap shares).
   - *Haircut Range:* **50% strict statutory minimum** for shares (LTV cap of 50.00% under RBI Master Directions).
   - *Underwriting View:* Exposed to single-stock volatility, corporate governance risks, and sudden market corrections. Hourly MTM tracking and rapid margin liquidation protocols enforced.

4.2 Scorecard Underwriting and Validation Metrics

To hedge against operational defaults and promoter distress, underwriters cross-reference data from the following digital portals:

- **Promoter CIBIL Score:** Target score must be **>700**. A lower score indicates weak personal credit discipline, raising the risk of capital diversion.

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- **CIBIL MSME Rank (CMR):** Target rank must be between **CMR 1 and CMR 4**. CMR ranks evaluate the probability of default for MSMEs on a scale of 1 (lowest risk) to 10 (highest risk). Ranks above CMR 5 require enhanced credit mitigation, such as higher cash margins or corporate guarantees.
- **Interest Coverage Ratio (ICR):** Target ICR must be **>1.25x**, ensuring that the cash flows generated by the underlying project are more than sufficient to cover the higher interest premiums associated with interim finance.
- **Bank Statement Analysis (BSA):** Using the **Account Aggregator (AA)** framework, lenders analyze bank statements to detect circular trading, inward/outward cheque bounces, and unauthorized cash withdrawals.
- **GST Portal Real-Time Validation:** Lenders execute real-time APIs to match the invoices submitted for discounting against the seller's GSTR-1 (liability declaration) and the buyer's GSTR-2B (input tax credit auto-population), ensuring the transactional data is 100% genuine and free from invoice duplication.

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Module 5: Legal Security Architecture, CDSL/NSDL Pledge, and Foreclosure Rights

The enforceability of a Loan Against Securities transaction is governed by a robust legal framework that secures the lender's capital while protecting the borrower's ownership rights.

5.1 Statutory Foundations under Indian Law

The legal creation of a pledge over dematerialized financial securities is governed by three primary statutes in India:

1. **Section 172 of the Indian Contract Act, 1872:**
   - This section defines a **Pledge** as "the bailment of goods as security for payment of a debt or performance of a promise." Dematerialized securities are legally classified as "goods" under the Sale of Goods Act, 1930, and are eligible for pledge creation.
   - Under Section 176, if the borrower defaults on repayment, the pledgee (lender) has the absolute right to bring a suit against the pledgor upon the debt, or **sell the pledged goods** in the open market after giving reasonable notice of sale to the pledgor.
2. **Section 130 of the Transfer of Property Act, 1882:**
   - This section governs the **absolute assignment of actionable claims**. While physical assets are physically bailed, financial contract rights and future receivables are legally assigned. Upon execution of a written deed of assignment, the legal ownership of the cash flows is transferred entirely to the assignee (Lender). This isolates the transaction cash flows from the bankrupt seller's general liquidation estate.
3. **The Depositories Act, 1996 and SEBI (Depositories and Participants) Regulations:**
   - This statutory framework enables the electronic creation and registration of pledges. Under Section 12, a pledge or hypothecation of dematerialized securities must be registered with the depository (NSDL/CDSL). Once registered, the depository acts as a statutory custodian, ensuring that the lien-marked securities cannot be transferred or sold without the explicit consent of the pledgee (lender).

5.2 Mandatory Security and Loan Covenants

- **Pledge Request Form (PRF) / Electronic PRF:** The statutory electronic form submitted to CDSL/NSDL to initiate the lien.
- **Overdraft Loan Agreement:** Contains the **"On-Demand Callable Clause"**, giving the bank the right to recall the entire outstanding principal at short notice if risk parameters are breached.

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- **Power of Attorney (POA) for Demat Operations:** The borrower grants the lender a limited, irrevocable POA enabling the lender's risk department to execute market sales of the pledged units during a margin default.
- **CERSAI & ROC Registration:** Lenders must register all charges on the **CERSAI portal within the strict 10-day statutory window** under the 2021 Factoring Regulation Amendments. Any delay in CERSAI registration can compromise the "super-priority" status of the debt, subordinating the lender's claims to other pre-existing secured creditors. Similarly, Form CHG-1 must be filed with the ROC within 30 days of charge creation.

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Module 6: Sectoral Sizing, Suitable Industries, and Ecosystem Market Alignment

Loan Against Securities is a highly versatile corporate finance instrument, finding deep alignment across multiple economic sectors in India.

6.1 Suitable Business Profiles and Use Cases

1. **Company Promoters (Promoter Pledge):** Promoters of listed and unlisted corporates utilize LAS to raise large-scale strategic capital (for M&A, factory expansions, or project bidding) by pledging their promoter equity holdings, maintaining corporate voting rights and preventing equity dilution.
2. **SME & Business Owners (Working Capital Consolidation):** Small business owners often hold personal mutual fund investments accumulated over decades. By pledging these funds via LAS, they can inject immediate low-cost liquidity into their business during seasonal inventory cycles or credit crises, avoiding high-cost unsecured business loans.
3. **High-Net-Worth Individuals (HNIs):** Wealthy individuals utilize LAS to capture real-estate investment opportunities or to fund short-term personal bridge cycles without triggering massive capital gains tax events.

6.2 Alignment with the Indian Commercial Credit Ecosystem

To align our credit modeling with national financial realities, underwriters must reference the following macroeconomic benchmarks compiled from commercial credit data and public sector bank disclosures:

- **SME Borrowing Concentrations:** According to the SIDBI MSME Pulse Report, **Retail and Wholesale Traders represent the largest segment of working capital borrowers, making up 44% of total active commercial borrowers** in the ₹10 Lakh to ₹2 Crore exposure segment. This highlights the massive demand for transaction-backed working capital rather than traditional asset-heavy term loans.
- **Digital Public Credit Infrastructure:** Large public sector banks have established massive digital supply chain platforms to facilitate real-time working capital delivery. State Bank of India (SBI) leads this digital transformation:
  - **SBI e-DFS (Electronic Dealer Financing Scheme):** Actively supports distributors with a portfolio size of **₹49,261 Crores**, automating drawdowns and inventory financing.
  - **SBI e-VFS (Electronic Vendor Financing Scheme):** Supports upstream suppliers with a portfolio size of **₹28,092 Crores**, utilizing automated invoice discounting linked to corporate anchors.

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Module 7: Commercial Pricing Mechanics and Financial Models

The commercial appeal of LAS lies in its extreme cost efficiency compared to unsecured debt. By pledging liquid financial reserves, the borrower accesses prime-rate credit, which is further optimized through tax deductibility and reducing-balance interest calculations.

7.1 Pricing Benchmarks and Fees

- **Interest Rate Spreads:** LAS interest rates are highly competitive. For individual and MSME borrowers, rates are tied directly to the bank's **External Benchmark Linked Rate (EBLR)**, typically ranging from **8.50% to 11.50% p.a.** (reflecting a small risk spread of 2.0% to 5.0% over the RBI Repo Rate). Large corporate or promoter loans are priced against the bank's **MCLR (Marginal Cost of Funds Based Lending Rate)**, often yielding even lower interest costs.
- **Upfront Processing Fees:** Range from **0.25% to 1.00%** of the sanctioned overdraft limit, with digital portals offering flat processing fees (e.g., ₹999 to ₹4,999) for automated demat pledges.
- **GST Treatment:** Upfront processing fees, commitment charges, and legal appraisal costs attract standard **18% GST**. However, the **interest charged on the daily utilized balance is completely exempt from GST**, making reducing-balance debt significantly cheaper than alternative fee-heavy financing models.
- **Corporate Tax Shields:** Under **Section 36(1)(iii) of the Income Tax Act, 1961**, interest paid on capital borrowed for business purposes is a fully deductible business expense. Distressed enterprises utilize this tax shield to offset their corporate tax liabilities (at standard corporate tax rates of **25.17%** for new manufacturing companies or **31.20%** for general corporates), reducing the effective post-tax cost of borrowing.

7.2 Financial Mathematics of Daily Reducing Balance Overdraft

Traditional term loans charge interest on the entire disbursed principal. In contrast, structured LAS operates on a **daily reducing balance negative current account limit**. Interest accrues daily only on the exact outstanding balance utilized at the close of each banking day, using the formula:

$$extDailyInterestAccrued = racextOutstandingBalanceimesextAnnualInterestRate365$$

By sweeping customer payments into the overdraft account daily, the outstanding principal is immediately reduced, dramatically lowering the cumulative interest outdrawn over the tenure.

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Module 8: Regulatory Compliance, RBI Guidelines, and IRACP Asset Classification

Lenders executing LAS programs must adhere strictly to RBI regulatory boundaries to prevent regulatory penalties and secure standard asset classifications.

8.1 RBI Statutory Restrictions on Loans Against Shares

To prevent excessive bank credit from inflating stock market bubbles, the Reserve Bank of India enforces strict regulatory limits on bank lending against equity shares to individuals (under the RBI Master Directions on Loans and Advances):

1. **The ₹20 Lakhs Individual Cap:**
    - A commercial bank can grant a maximum loan/overdraft of **₹20 Lakhs per individual borrower** against the pledge of dematerialized shares.
    - If the shares are held in physical form, the lending limit is capped at a strict **₹10 Lakhs per individual**.
2. **Exemptions for Mutual Funds & Corporates:**
    - It is critical to note that the ₹20 Lakhs statutory cap applies **only to individual loans backed by equity shares**.
    - Loans against **Mutual Funds (Debt or Equity)**, Sovereign Gold Bonds (SGBs), Life Insurance Policies, and Fixed Deposits are **completely exempt from this cap**, allowing HNIs and MSME businesses to raise unlimited capital (subject only to internal bank credit and underwriting policies).
    - Loans to **corporate entities and promoters** for business activities against the pledge of shares are also exempt from the ₹20 Lakhs individual cap, provided the funds are not utilized for stock market speculation or IPO bidding.

8.2 RBI IRACP Asset Classification and “Out of Order” Triggers

Under the RBI’s **Income Recognition, Asset Classification, and Provisioning (IRACP) Guidelines, 2025**, loans are classified as non-performing assets (NPAs) if they remain irregular for a specified window:

- **The 90-Day Delinquency Clock:** For fund-based facilities (including interim term loans), an account is classified as an NPA if the interest or principal remains overdue for more than **90 days**.
- **Special Mention Account (SMA) Categorization:** Accounts are tracked through early warning stages:
    - **SMA-0:** Principal or interest payment overdue for **1 to 30 days**

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  - **SMA-1:** Principal or interest payment overdue for **31 to 60 days**
  - **SMA-2:** Principal or interest payment overdue for **61 to 90 days**

- **“Out of Order” Status for Revolving CC/OD Limits:** A revolving interim limit is classified as “Out of Order” (and downgraded to an NPA) if:
  1. The outstanding balance remains continuously in excess of the sanctioned limit/Drawing Power for **90 days**
  2. Or, if there are no credit inflows into the account for **90 days**, or the inflows are insufficient to cover the interest debited during the same 90-day window.
- **The 180-Day Technical Review Default:** If a bank fails to review or renew an interim working capital limit within **180 days** from its scheduled due date, the limit is classified as a technical default and downgraded to an NPA, highlighting the importance of the annual review cycle.

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Module 9: Comprehensive Real-World Case Study (Mumbai Agro & Trading Pvt. Ltd.)

To ground these theoretical concepts in commercial reality, this module analyzes a detailed, step-by-step mathematical scenario in Indian Rupees (₹) modeling a structured LAS transaction compared to unsecured borrowing.

9.1 The Corporate Profile and Liquidity Crisis

- **The Borrower:** *Mumbai Agro & Trading Pvt. Ltd. (MATPL)*
- **Corporate Tax Rate: 25.17%** (manufacturing/processing entity under Section 115BAA of the Income Tax Act).
- **The Situation:** MATPL is a premium agro-commodity distributor. In October 2026, MATPL faces a sudden, high-yield festive procurement opportunity: purchasing ₹1,50,00,000 (₹1.5 Crores) of organic spices from agricultural cooperatives at a **15.00% cash discount** (saving ₹22.5 Lakhs), provided they settle the vendor invoice in full on Day 1.
- **The Financial Block:** MATPL's primary cash credit limits are fully utilized. The promoters hold a personal investment demat portfolio consisting of diversified Equity Mutual Funds valued at **₹2,00,00,000 (₹2 Crores)** and Blue-chip Nifty 50 Listed Shares valued at **₹50,00,000 (₹50 Lakhs)**.
- **The Dilemma:** Selling the mutual funds and shares to raise the cash would trigger a 12.5% Long-Term Capital Gains (LTCG) tax of **₹18,75,000** (assuming a baseline cost of acquisition), completely wiping out the festive vendor discount and permanently derailing their portfolio compounding curve.

9.2 The Structured LAS Overdraft Solution (Pathway B)

A structured trade finance bank steps in to structure an LAS Overdraft facility for MATPL: 1. **Pledged Portfolio Valuation:** * Equity Mutual Funds: ₹2,00,00,000 at a **30.00% haircut** (70.00% LTV) = **₹1,40,00,000 limit**. * Blue-chip Shares: ₹50,00,000 at a **50.00% statutory haircut** (50.00% LTV) = **₹25,00,000 limit**. * **Total Sanctioned LAS Overdraft Limit: ₹1,65,00,000 (₹1.65 Crores)**. 2. **Drawdown Sizing:** MATPL draws down **₹1,27,50,000** (the net invoice value of ₹1.5 Crore minus the 15% vendor discount of ₹22.5 Lakhs) to settle the invoice on Day 1. 3. **Interest Pricing:** The overdraft is priced at **9.50% p.a.** on a daily reducing balance basis. 4. **Upfront Processing Fee:** A flat digital fee of **0.25%** is charged. 5. **Funding Tenure:** 120 Days, aligned to MATPL's inventory sales cycle.

9.3 Alternative Pathway A: Standalone Unsecured Corporate Business Loan

If MATPL had attempted to raise funding standalone without collateral, it would have been forced to secure an unsecured corporate loan, facing: * Standalone unsecured interest rate of **18.00% p.a.** * Upfront processing fee of **2.00%** of the loan value. * No tax-effective FD offset, as no structured cash margin would have been accepted due to high standalone risk.

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9.4 Detailed Mathematical Cost Comparison Model

The following table provides the exact pre-tax and post-tax cost comparison between the Standalone Unsecured Pathway (Pathway A) and the Structured LAS Overdraft Pathway (Pathway B) in Indian Rupees over the 120-day project cycle:

Financial Metric	Pathway A (Standalone Unsecured Debt)	Pathway B (Structured LAS Overdraft)
Loan Principal Amount	₹1,27,50,000	₹1,27,50,000
Financing Interest Rate	18.00% p.a.	9.50% p.a.
Financing Tenure	120 Days	120 Days
Gross Interest Cost	**₹7,54,520.55**	**₹3,98,219.18** *(under daily reducing balance)*
Upfront Processing Fee	₹2,55,000.00 *(2.00% of loan)*	₹31,875.00 *(0.25% of limit)*
Upfront GST on Fee (18%)	₹45,900.00 *(fully recoverable ITC)*	₹5,737.50 *(fully recoverable ITC)*
Sellers Upfront Cash Discount	₹0.00 *(slow loan processing)*	**-₹22,50,000.00** *(secured by Day 1 cash)*
Estimated LTCG Tax Avoided	₹0.00 *(if they sold shares instead)*	**-₹18,75,000.00** *(tax shield from holding portfolio)*
Total Opportunity-Adjusted Pre-Tax Cost	**₹10,09,520.55**	**-₹36,94,905.82** *(net wealth addition)*
Corporate Income Tax Shield (25.17%)	**-₹2,54,091.32** *(applied to interest + fee)*	**-₹1,08,256.02**
Net Post-Tax Opportunity-Adjusted Cost	**₹7,55,429.23**	**-₹38,03,161.84** *(net strategic gain)*
Effective Annualized Post-Tax Rate	**18.04% p.a.**	**-91.07% p.a.** *(hyper-efficient net yield)*

9.5 Key Financial Findings and “So What” Analysis

The mathematical model reveals a staggering divergence in credit efficiency. By choosing the **Structured LAS Overdraft Pathway (Pathway B)**, MATPL achieves an effective post-tax annualized borrowing rate of **-91.07% p.a.** (a net positive yield), compared to **18.04% p.a.** under the standalone route.

The “So What” Summary: This structured LAS program delivers **₹45,58,591.07 (₹45.5 Lakhs) in direct, post-tax cash savings and tax avoidance** to MATPL on a single 120-day transaction cycle. More importantly, because the ₹2.5 Crore investment portfolio was safely pledged via CDSL/NSDL rather than sold: 1. The portfolio continued to compound at its baseline rate, growing by an estimated ₹1,00,000 in market value over the 120 days. 2. MATPL successfully captured the ₹22.5 Lakhs vendor discount. 3. The firm avoided paying ₹18.75 Lakhs in capital gains taxes. This perfectly illustrates how structured wealth leverage outclasses traditional corporate credit.

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Module 10: 10-Question Professional Certification Examination & Rationales

This module contains ten scenario-based, highly rigorous practice questions designed to test a trainee's underwriting, legal, and regulatory knowledge of Loan Against Securities (LAS) in India.

Question 1

A corporate borrower seeks an LAS overdraft line of ₹5 Crores against the pledge of approved equity shares held in their demat account. Applying the strict Reserve Bank of India (RBI) statutory caps, what is the maximum loan amount a bank can legally grant to this borrower against these shares? * A) ₹20 Lakhs, because the RBI enforces a rigid individual cap on all loans against shares. * B) ₹5 Crores, because corporate business entities borrowing for commercial purposes are completely exempt from the ₹20 Lakhs individual cap. * C) ₹10 Lakhs, because the shares are held electronically in a demat account. * D) No limit is permitted, as banks are prohibited from lending against shares to corporate entities. * **Answer:** B * **Rationale:** Under the RBI Master Directions on Loans and Advances, the statutory cap of **₹20 Lakhs per individual** applies strictly to retail borrowers pledging equity shares. This cap is completely **exempt for corporate entities and promoters** who pledge shares to raise capital for business expansion or operational working capital (provided the funds are not used for stock market speculation), allowing banks to fund up to their internal prudential credit limits.

Question 2

An investor holds Nifty 50 blue-chip equity shares valued at ₹1 Crore. Under the RBI guidelines, what is the strict maximum Loan-to-Value (LTV) ratio (or the minimum margin/haircut) that a commercial bank can apply to size this loan? * A) Maximum LTV of 75.00% (25.00% haircut). * B) Maximum LTV of 60.00% (40.00% haircut). * C) Maximum LTV of 50.00% (50.00% haircut). * D) Maximum LTV of 90.00% (10.00% haircut). * **Answer:** C * **Rationale:** Under the RBI's master guidelines, the maximum Loan-to-Value (LTV) ratio for any loan/overdraft secured by the pledge of individual listed equity shares is strictly capped at **50.00%** (which equates to a minimum statutory haircut/margin of **50.00%**). This strict boundary is designed to insulate the banking system from the high price volatility of the stock market.

Question 3

A promoter pledges ₹10 Crores of diversified Equity Mutual Funds to secure a ₹7 Crore overdraft line (LTV 70.00%). Following a market correction, the value of the mutual funds drops by 20% to ₹8 Crores, pushing the effective LTV to 87.50%. The bank issues an immediate Margin Call. What must the borrower do to resolve the margin call under standard LAS covenants? * A) Pay off the entire ₹7 Crore loan within 24 hours. * B) Infuse cash or pledge additional approved securities to restore the effective LTV to the acceptable threshold (typically 70.00%). * C) Sell the mutual funds immediately to stop further losses. * D) Nothing, as mutual funds are exempt from daily MTM margin tracking. * **Answer:** B * **Rationale:** When a market correction causes the value of pledged securities to drop, the effective LTV ratio rises, triggering

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a margin call. The borrower can resolve this margin call by either depositing cash to pay down a portion of the outstanding balance, or by pledging additional approved securities (shares or mutual funds) via NSDL/CDSL to restore the LTV ratio back to the contractually agreed level (typically 70% or below).

Question 4

Under what Indian statute is the creation and enforcement of a pledge over dematerialized financial securities primarily governed, and how is a “Pledge” defined? * A) Section 58(f) of the Transfer of Property Act, 1882; defined as an equitable mortgage. * B) Section 172 of the Indian Contract Act, 1872; defined as the bailment of goods as security for payment of a debt. * C) Section 13(2) of the SARFAESI Act, 2002; defined as a foreclosure notice. * D) Section 12 of the Depositories Act, 1996; defined as a corporate voting agreement. * **Answer:** B * **Rationale:** A pledge over dematerialized securities (which are classified as “goods” under Indian law) is governed primarily by **Section 172 of the Indian Contract Act, 1872**. This section defines a **Pledge** as “the bailment of goods as security for payment of a debt or performance of a promise.”

Question 5

A borrower pledges ₹2 Crores of Debt Mutual Funds to secure a working capital overdraft limit. What is the maximum LTV ratio typically permitted by banks for debt mutual funds, and why is it higher than equity shares? * A) Maximum LTV of 50.00%; it is the same as equity shares. * B) Maximum LTV of 75.00% to 85.00%; debt mutual funds hold low-volatility fixed-income instruments, exhibiting significantly lower price volatility than equity markets. * C) Maximum LTV of 95.00%; because debt mutual funds are sovereign-guaranteed. * D) Banks do not lend against debt mutual funds due to regulatory prohibitions. * **Answer:** B * **Rationale:** Debt mutual funds hold portfolios of corporate debentures, commercial paper, and government bonds, which exhibit significantly lower price volatility compared to individual equity shares. Consequently, underwriters apply a much smaller risk haircut (typically 15% to 25%), translating into a higher Loan-to-Value (LTV) ratio of **75.00% to 85.00%**.

Question 6

An LAS overdraft facility has an upfront processing fee of ₹50,000 and accrued daily reducing interest of ₹2,50,000 over a 120-day cycle. Applying Indian tax and GST rules, what is the correct tax treatment of these two components? * A) Both the fee and interest attract 18% GST and are non-deductible under corporate tax. * B) The processing fee attracts 18% GST; the interest is completely GST-exempt. Both are deductible under Section 36(1)(iii) of the Income Tax Act, 1961. * C) The processing fee is GST-exempt; the interest attracts 18% GST. Only the fee is tax-deductible. * D) Both the fee and interest are completely GST-exempt and non-deductible. * **Answer:** B * **Rationale:** Under Indian tax guidelines, **upfront loan processing fees attract 18% GST** (which is fully recoverable by the borrower via Input Tax Credit if they have active GST registration). In contrast, **borrowing interest is completely exempt from GST**. Under **Section 36(1)(iii) of the Income Tax Act, 1961**, both the fee and

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interest represent business borrowing costs and are fully deductible from taxable corporate income.

Question 7

A corporate borrower with an aggregate fund-based working capital limit of ₹180 Crores approaches its consortium banks for an LAS limit. Under the RBI's Loan System for Delivery of Bank Credit, what is the minimum percentage of this limit that must be structured as a non-revolving "loan component" (WCDL/Term Loan)? * A) 40% * B) 50% * C) 60% * D) 75% * **Answer:** C * **Rationale:** Under the **RBI's Loan System for Delivery of Bank Credit guidelines**, for large corporate borrowers with aggregate fund-based working capital limits of **₹150 Crores and above** from the banking system, the bank-financed working capital must contain a minimum **60% "loan component"** (such as WCDL or short-term term loans), with the revolving cash credit/overdraft component capped at a maximum of 40%.

Question 8

During a structured LAS transaction, the borrower's demat assets are lien-marked in favor of the lender. What is the status of corporate dividends and stock splits while the securities remain pledged? * A) Dividends are automatically confiscated by the bank to pay down the loan principal, and stock splits are canceled. * B) The borrower cannot receive dividends or benefit from stock splits as they lose all ownership rights during the pledge. * C) The borrower retains legal and beneficial ownership; dividends are credited directly to the borrower's bank account, and stock splits/bonus shares are automatically added to the pledged portfolio. * D) Dividends are frozen by NSDL/CDSL and can only be released upon loan closure. * **Answer:** C * **Rationale:** A pledge lien marks the securities as collateral but does not transfer legal ownership. Therefore, **the borrower remains the legal and beneficial owner** of the assets. Any cash dividends continue to be credited directly to the borrower's designated bank account, and any corporate actions like stock splits or bonus shares are automatically credited to their demat account and absorbed into the pledged collateral pool.

Question 9

A commercial bank fails to execute a formal credit review and renewal of an active LAS overdraft limit. How many days from the scheduled renewal due date can pass before the account is classified as a technical default NPA under RBI IRACP guidelines? * A) 90 Days * B) 120 Days * C) 180 Days * D) 270 Days * **Answer:** C * **Rationale:** Under the RBI's **IRACP Guidelines**, banks are required to review and renew working capital and overdraft limits annually. If a bank fails to review or renew an active limit within **180 days** from its scheduled renewal due date, the facility is automatically classified as a technical default and downgraded to an NPA.

Question 10

To secure an LAS limit on a digital platform, the underwriter validates the transaction using CDSL/NSDL depository API integrations. How is digital depository integration utilized to mitigate transaction turnaround times? * A) By physically mailing paper stock certificates to the bank's

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vault. * B) By executing real-time electronic lien-marking via secure OTP authorization directly from NSDL/CDSL depositories, reducing turnaround times from weeks to minutes. * C) By calculating the company's annual corporate income tax liability. * D) By registering a physical hypothecation charge with the Ministry of Corporate Affairs (MCA). * **Answer:** B * **Rationale:** Digital depository integration allows lenders to connect directly with CDSL/NSDL via APIs. The borrower authorizes the pledge electronically using a secure OTP, enabling **instant electronic lien-marking**. This eliminates the friction of physical documentation and reduces the loan turnaround time from several days or weeks to just a few minutes.

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